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Current macroeconomic models provide peeling, succinct descriptions of business cycle dynamics in the United States and other countries, but less is known about the extent which these models accurately replicate economy's long-run characteristics. In part, this reflects that economists have far fewer observations about long-run behavior, given the limited sample sizes available. But while less is known about the long-run characteristics of the economy, many macroeconomic models imply very strong assumptions about this behavior that the long-run levels of inflation and the real interest rate are constant over time and perfectly known by all economic agents. This paper empirically tests those assumptions and proposes alternative ones.

Specifically, we focus on the effects of macroeconomic and monetary policy surprises on the term structure of interest rates. In most standard macroeconomic models, short-term interest rates tend to return relatively quickly to a deterministic steady state after a macroeconomic

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